

SENTINEL RE INSURANCE COMPANY
Group Stop Loss & ASO Underwriting Division

FORMAL QUOTATION — ASO + SPECIFIC & AGGREGATE STOP LOSS

Quote Reference: QTE-SENT-2026-04471 | In Response to Request ID: REQ-ACME-2026-001

Prepared For:	Acme Global Solutions, c/o Firstsource (Broker of Record)
Broker Contact:	Guhan, Firstsource — Guhaneshwar.Bbb@firstsource.com
Quote Date:	June 20, 2026
Requested Effective Date:	October 1, 2026
Quote Valid Through:	September 1, 2026 (60 days)
Funding Arrangement:	Administrative Services Only (ASO) — Self-Funded
Group Size:	2,502 Employees / 5,680 Total Members
Industry:	NAICS 541511 — Custom Computer Programming Services
Primary Location:	New York, NY (ZIP 10001)

Dear Guhan,

Thank you for the opportunity to quote Acme Global Solutions' Administrative Services Only (ASO) and Stop Loss program for the plan year effective October 1, 2026. This quotation has been developed using the census, claims experience, and large claimant data submitted with your Request ID REQ-ACME-2026-001, dated June 18, 2026.

Sentinel Re Insurance Company is pleased to offer the enclosed rates and terms based on 24 months of trended claims experience, a current census of 2,502 employees, and our review of the six (6) claimants identified in your Large Claimant Report. This quotation reflects a competitive renewal position relative to your incumbent stop loss carrier and incorporates a No New Laser commitment, consistent with your current contract terms.

Please find the full rate exhibit, claims experience summary, large claimant disposition, and terms & conditions on the following pages. We welcome the opportunity to discuss this quotation and answer any underwriting questions your team may have.

Sincerely,

Underwriting Department

Sentinel Re Insurance Company | Group Stop Loss & ASO Division
underwriting@sentinelre-quotes.example.com

1. Rate Exhibit — Composite Monthly & Annual Premium

Rates below are composite (blended across all tiers) and reflect 24 months of trended claims experience, adjusted to remove large claimant (shock claim) liability from the baseline trend per standard underwriting practice. Large claims are individually evaluated and laser-rated where applicable (see Section 4).

Premium Component	PMPM (\$)	PEPM (\$)	Annualized (\$)
Expected Claims Funding (net of large claims)	652.23	1,480.81	44,455,997
ASO Administration Fee	61.96	140.66	4,223,194
Specific (ISL) Stop Loss Premium	94.57	214.69	6,445,891
Aggregate Stop Loss Premium	4.35	9.88	296,496
TOTAL PROGRAM COST	813.11	1,846.04	55,421,578

Specific (Individual) Stop Loss Terms

Specific Deductible (ISL)	\$150,000 per individual, per contract period
Contract Basis	12/15 (12-month incurred, 15-month paid run-out)
Maximum Specific Reimbursement	Unlimited (no annual or lifetime maximum)
New / No New Laser	No New Laser — confirmed for all currently enrolled members (see Section 4)

Aggregate Stop Loss Terms

Aggregate Attachment Factor	125% of Expected Claims Funding
Aggregate Attachment Point (Annual)	\$55,569,996
Minimum Aggregate Deductible	Composite — no per-employee minimum applies
Aggregate Maximum Reimbursement	\$2,000,000 per contract period

2. Monthly Aggregate Attachment Schedule

The table below allocates the annual Aggregate Attachment Point (\$55,569,996) across the 12-month contract period using Sentinel Re's standard actuarial seasonality pattern. The Cumulative Attachment Point shown for each month is the running total claims must exceed before Aggregate Stop Loss reimbursement applies.

Contract Month	% of Annual Attachment	Cumulative Attachment Point (\$)
Month 1	7.84%	4,356,688
Month 2	7.92%	8,757,831
Month 3	8.50%	13,481,281
Month 4	8.50%	18,204,731
Month 5	8.50%	22,928,180
Month 6	8.50%	27,651,630
Month 7	8.50%	32,375,080
Month 8	8.50%	37,098,529
Month 9	8.50%	41,821,979
Month 10	8.50%	46,545,429
Month 11	8.24%	51,124,396
Month 12	8.00%	55,569,996

3. Claims Experience Review

This quotation was developed from 24 months of submitted claims experience (July 2024 – June 2026). Summary figures below reconcile to the experience exhibit provided with the original submission.

Reporting Period	24 months (July 2024 – June 2026)
Total Medical Paid	\$65,902,433
Total Rx Paid	\$19,184,900
Total Combined Paid	\$85,087,333
Total Combined Incurred (incl. IBNR)	\$87,810,128
Average Monthly Enrollment	5,610 members
Average Total Incurred PMPM (unadjusted)	\$631.85
Large Claim Liability Removed from Trend	\$3,345,000 (6 claimants — see Section 4)
Net Baseline PMPM (pre-trend)	\$619.61
Trend Factor Applied	8.0% annual, 8-month projection (5.26% applied)
Projected Net PMPM at Effective Date	\$652.23

4. Large Claimant Disposition

Sentinel Re's medical underwriting team has independently reviewed all six (6) claimants disclosed in the Large Claimant Report submitted with this request. Consistent with the No New Laser commitment requested, no individual laser deductibles have been applied to any currently enrolled member. This disposition is contingent on no material change in claimant status prior to the effective date.

Ref #	Age/Sex	Diagnosis (ICD-10)	Paid-to-Date	Status	Disposition
LC-2026-001	58 / M	C34.90 — Lung malignancy	\$612,000	Active Treatment	No Laser
LC-2026-002	61 / F	N18.5 — CKD Stage 5	\$487,000	Active Treatment	No Laser
LC-2026-003	0 / M	P07.23 — Extreme prematurity	\$398,000	Resolved	No Laser
LC-2026-004	44 / F	G35 — Multiple sclerosis	\$265,000	Active Treatment	No Laser
LC-2026-005	52 / M	C91.00 — ALL (remission)	\$310,000	Remission	No Laser
LC-2026-006	67 / M	I21.4 — Acute MI (resolved)	\$168,000	Resolved	No Laser

Underwriting Notes

- Total disclosed shock claim liability of \$3,345,000 (paid + estimated remaining) has been fully reflected in the Specific Stop Loss pricing in Section 1; no further premium loading has been applied.
- Claimant LC-2026-001 (Stage III NSCLC, active chemo/immunotherapy) and LC-2026-002 (ESRD on dialysis) represent the highest ongoing exposure; Sentinel Re will monitor at first renewal but commits to No New Laser through the full 2026–2027 contract period.
- Claimants LC-2026-003 and LC-2026-006 are classified Resolved with low ongoing risk and are not expected to materially affect the 2027–2028 renewal trend.
- This disposition assumes all six claimants remain continuously enrolled through the effective date with no gap in coverage exceeding 63 days.

5. Terms, Conditions & Next Steps

Key Underwriting Assumptions

- Quotation is based on census, claims, and large claimant data submitted as of June 18, 2026 (Request ID REQ-ACME-2026-001). Material changes in enrollment ($\pm 10\%$), industry classification, or claims experience prior to the effective date may require re-rating.
- Rates assume continuation of the current PPO network (Acme National PPO) and 3-tier Rx copay plan design. A plan design change of more than 5% in actuarial value will require re-quoting.
- Composite rating basis applied uniformly across all four enrollment tiers (Employee Only, Employee + Spouse, Employee + Children, Family).
- Specific and Aggregate Stop Loss coverage is contingent on Sentinel Re's standard Policy Exclusions, including pre-existing condition limitations for newly added groups (waived for this renewal given continuous prior coverage).

Required Documentation Prior to Binding

- Signed Stop Loss application and disclosure statement
- Updated census within 30 days of the effective date
- Confirmation of incumbent carrier run-out coverage / continuity of large claimant data
- Executed ASO Administrative Services Agreement

Commission & Compensation

Broker of Record	Firstsource
Standard Commission	2.5% of Total Annual Premium (ISL + Aggregate components only)

Quote Validity & Contact

This quotation is valid for sixty (60) days from the date above and is subject to final underwriting review at the time of binding. Rates, terms, and the large claimant disposition in Section 4 are subject to change if updated census, claims, or large claimant data is received prior to binding.

Sentinel Re Insurance Company

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